

Spend \$500 during June billing cycle

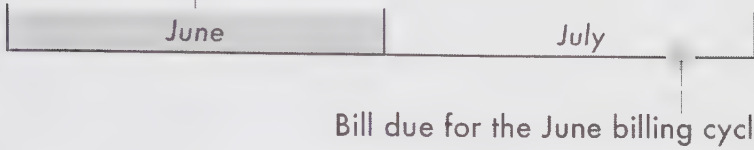


Figure 6.1. Credit card billing cycle

The biggest mistake people make with credit cards is only paying the minimum on their balance each month—which is exactly what credit card companies want people to do, because those companies will then make more money on interest. With each billing cycle, the balance²⁹ that the cardholder is paying interest on grows and grows. Eventually, the high interest on the large balance may become insurmountable. The best way to avoid this is to use your credit card like your debit card. If you do not have the money in your checking account to pay for the purchase, then you cannot afford the purchase. Do not fall for the false appeal of low monthly payments. Pay your credit card off in full every month and you will never pay interest on any of your purchases.

Benefits of Credit Cards

I love my credit card. Because I am a huge nerd, I genuinely look forward to paying off my entire balance each month and seeing my “amount owed” go back to zero. I also love my credit card

²⁹ Note that the meaning of the term *balance* is different when we talk about credit cards versus checking and savings accounts. While your checking or savings balance shows how much you *have* in the bank, your credit card balance shows how much you *owe* to the credit card company.